

MODULE 4, CHAPTER 2: THE DIVISIONS OF RISK

Fidelity Bonds

- **Definition:** Strictly guarantee the personal honesty of individuals, usually employees handling money like cashiers or collectors [cite: 15].
- **Fidelity Bond vs. Guarantee:** A true Fidelity Bond is a three-party contract requiring a **prior conviction clause** before a claim responds [cite: 15]. A two-party Fidelity Guarantee does not [cite: 15].
- **Structures:** Can be issued as Individual Bonds, or Blanket Types structured as Name Schedule or Position Schedule bonds [cite: 15].

Surety Bonds: Judicial Lines

- **Purpose:** Required by laws to be filed by parties in court proceedings [cite: 15].
- **Bail Bond:** Posted by an accused individual to secure temporary liberty in criminal matters [cite: 15].
- **Replevin Bond:** Posted to repossess personal property [cite: 15].
- **Supersedeas Bond:** Mandatory in labor cases to stay the execution of a judgment pending an appeal [cite: 15].
- **Guardian's Bond:** Legally required to protect assets in the event a minor is designated to receive insurance proceeds [cite: 15].

Surety Bonds: Non-Judicial Contractor's Bonds

- **The Bidding Phase:** A **Bidder's Bond** ensures bona fide intentions [cite: 15]. It answers for the cost to conduct a new bidding and covers the financial gap to the next lowest bidder if the winner defaults [cite: 15].
- **The Awarding Phase:** A **Performance Bond** (10% to 30% of contract price) guarantees completion [cite: 15]. Simultaneously, a **Downpayment Bond** guarantees the exact liquidation of advance payments [cite: 15].
- **The Completion Phase:** A **Warranty or Guaranty Bond** allows the Obligee to release retention money, guaranteeing the contractor repairs hidden defects within one year [cite: 15].

Key Takeaway: Classify your bonds! Fidelity guarantees honesty and requires a prior conviction. Judicial bonds deal with courts (Bail, Replevin), and Non-Judicial Contractor bonds sequentially protect a project from the initial bid to the one-year warranty.